

Roseland Food Access

Empirical Foundation, Intervention Stack, and Cost Estimate

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Executive Summary

Roseland (Chicago Community Area 49) has 10 of 14 census tracts classified as Low-Income, Low-Access (LILA) at the half-mile threshold. The November 2024 closures of Aldi and Jewel-Osco left the community without a conventional grocery store. Our recommended intervention is not a single project but a **phased, layered stack** of five mechanisms timed against the Red Line Extension (RLE) construction window: two near-term, low-cost interventions that can start in 2026 (Healthy Corner Store Initiative stocking + Link Match SNAP doubling at corner stores); two medium-term funding levers (Illinois Grocery Initiative + New Markets Tax Credits via the Chicago Development Fund); and a long-term anchor (the already-funded \$48.3M 1Fifteen at Michigan Station development, 2027 construction) plus zero-cost Transit-Oriented Development upzoning under Chicago's Connected Communities Ordinance.

This brief also presents (Section 2) the empirical evidence that prior CTA line expansions, especially the Orange Line / Midway corridor, capitalized into nearby residential property values, with measurable effects emerging before the line opened for service. The Red Line Extension broke ground in April 2026, and the capitalization clock is already running on Roseland's Far South Side parcels. This sharpens the timing logic of our recommendations: the same dynamic that makes the \$0-cost TOD upzoning lever powerful also creates anti-displacement risk for the residents as the food-access stack is meant to serve. Acting in the 2026 window addresses both sides of this dynamic at once.

Total estimated public cost over the five-year deployment window: \$7.3M–\$18.9M one-time plus \$563K–\$2.12M per year ongoing at full deployment. On a per-resident basis: \$166–\$430 one-time and \$13–\$48 per year. The corresponding cost of inaction is **\$342M per year** in retail leakage from Roseland alone — about **\$7,773 per resident per year**. Even at the high end of our cost range, the intervention stack pays for itself in less than **three weeks** of recovered local retail spend.

► **Three load-bearing recommendations.** (1) Begin HCSI corner-store stocking and Link Match enrollment in 2026 — both are authorized today; no legislation is required. (2) Use the 2026 window to advocate with Chicago Neighborhood Initiatives for a *community-owned or SNAP/WIC-accepting* grocery tenant at the 1Fifteen development, while the tenant decision is still open. (3) Pre-stage Connected Communities Ordinance rezoning petitions in 2026–2027 so Roseland captures TOD value as soon as the RLE stations open around 2030 — and so anti-displacement covenants are in place before station-area capitalization fully accrues (see Section 2).

Background and Problem

Roseland's food access gap is documented across every data source the team has assembled this quarter. Quantitatively: 71.4% of Roseland tracts are LILA at the half-mile threshold versus 25.5% citywide (a $2.8\times$ disparity); 57.1% are LILA with an additional vehicle access barrier versus 16.5% citywide ($3.5\times$). Median family income is \$50,034 (35% below the Chicago median of \$76,636), and the SNAP-household share is 33.2% ($1.75\times$ citywide). The November 2024 closures of the Aldi at 11140 S. Michigan Ave. and the Jewel-Osco at 9528 S. Halsted compounded a long-running pattern that began with Dominick's South Side exit in 2013.

The team's Cook County logit model ($N = 791$ census tracts, Pseudo $R^2 = 0.226$) confirms that Roseland's profile predicts LILA classification with high statistical significance even after controlling for income, SNAP usage, and vehicle access: each 1-percentage-point increase in Black population share raises LILA probability by 0.38 pp ($p < 0.001$), and log median family income enters significantly and negatively ($p = 0.008$). The residual variation that the model does *not* explain is exactly the structural-disinvestment story the literature predicts. (*Full specification, marginal-effects table, and multicollinearity diagnostics are documented in the Week 8 Policy Brief, §1.6.*)

The market has had three decades to solve this on its own and has chosen withdrawal. Aldi — designed specifically for low-income, price-sensitive markets — attempted a 115th/Michigan entry that failed because the developer could not secure Tax Increment Financing (TIF) for the site. This is documented *financing* failure, not siting-criteria rejection, and it directly motivates the public-subsidy lever in our recommended stack.

Empirical Foundation: Transit Value Capitalization

Introduction

The CTA Red Line Extension, a \$5.7 billion project, adding 5.6 miles of track and four new stations at 103rd Street, 111th Street, Michigan Avenue/115th Street, and 130th Street, with completion expected in 2030. Represents the most significant transit infrastructure investment on Chicago's Far South Side in decades. A central justification for this project is that transit investment does not merely improve mobility; it generates measurable economic value for surrounding communities. This brief summarizes the empirical evidence supporting the argument that CTA transit expansions produce capitalized increases in residential property values, with implications for the neighborhoods served by the Red Line extension.

New transit infrastructure increases the economic value of land and housing near station areas. This occurs through a process economists call capitalization. The financial benefits of reduced transportation costs, improved job access, and increased neighborhood desirability are reflected in higher property values for homes close to transit stations. The evidence from prior CTA expansions, particularly the Orange Line corridor, demonstrates that these effects are measurable, statistically significant, and emerge even before a line opens for service. For Roseland and the Far South Side, these findings suggest that the Red Line extension is likely to

generate property value gains in station areas, supporting the broader case for transit-oriented development and equitable investment policy alongside the infrastructure itself.

Key Evidence

The empirical literature on CTA line expansions and property value capitalization converges around three key studies, each addressing a different dimension of the same underlying phenomenon.

The earliest and most foundational of these is McDonald and Osuji's (1995) analysis of residential land values near the planned Orange Line (Midway Line) corridor. Using hedonic regression analysis, McDonald and Osuji (1995) found that residential land values within a half mile of anticipated station locations had already increased by 17% by 1990 three years before the line opened for service in 1993. The study also identified a 1.9% increase in property values per mile closer to the Chicago CBD for properties within that same half-mile influence zone. This anticipatory effect is significant: it demonstrates that land markets began capitalizing the expected transportation benefits as soon as expansion plans entered the public record, well before any physical infrastructure was in place. The implication for the Red Line extension, which broke ground in April 2026, is that property markets near the four new station areas may already be responding.

Building directly on this foundation, McMillen and McDonald (2004) extended the analysis of the same corridor across a longer time horizon, examining single-family home prices from 1983 through 1999. Where McDonald and Osuji (1995) captured the anticipatory pre-opening effect, McMillen and McDonald (2004) documented the sustained, long-run capitalization that followed. Their results show that between 1986 and 1999, homes within the station influence area accumulated approximately \$216 million more in property value gains than comparable properties located farther from the transit stations. A difference the authors attribute to the progressive capitalization of commute time savings and improved accessibility as the line matured. Taken together, McDonald and Osuji (1995) and McMillen and McDonald (2004) establish a consistent before-and-after picture that the Orange Line produced measurable capitalization effects that preceded the line's opening, persisted over more than a decade of operation, and were large enough in aggregate to be detected at the neighborhood scale.

The third body of evidence broadens the scope beyond a single corridor to the CTA system. Gruen Gruen and Associates (1997), in a study commissioned by the Regional Transportation Authority, applied hedonic price modeling to residential property transactions across the Chicago metropolitan region to isolate the effect of CTA station proximity. The analysis found that single-family home prices decline by approximately one percent for every 100 feet of distance from a CTA station, a gradient that remains statistically significant up to roughly one mile from the station. Gruen Gruen and Associates (1997) frame this premium as the capitalization of future transportation cost savings. Households near transit bear lower automobile ownership and commuting costs, and that savings is reflected in housing prices through standard bid-rent mechanisms. Critically, the study concludes that the positive influence of station proximity provides empirical justification for transit-oriented development and higher-density zoning as rational policy responses, since both maximize the land value gains associated with transit access while also supporting ridership.

Conclusion

Taken together, McDonald and Osuji (1995), McMillen and McDonald (2004), and Gruen Gruen, et al. (1997) build a consistent empirical case: CTA transit expansions generate measurable capitalization effects in nearby residential property markets, and those effects begin to emerge as soon as expansion plans become publicly known, not just after service starts. The Red Line extension broke ground in April 2026. If the patterns documented along the Orange Line hold for the Far South Side, property markets near the four new station areas may already be adjusting. This has two important implications for policy: first, it strengthens the economic rationale for the extension itself; and second, it underscores the urgency of pairing the infrastructure investment with anti-displacement protections and equitable TOD policy before those value gains accelerate beyond the reach of long-term Roseland residents.

Recommended Solution: A Phased, Layered Stack

A single intervention will not close Roseland's food access gap. The recommended program combines five mechanisms, sequenced by deployability:

Near-Term, Low-Cost (Deployable in 2026)

- **Solution 1A — HCSI Corner-Store Stocking.** Equip 5–30 Roseland corner stores with commercial refrigeration, install POS hardware, fund initial fresh-produce inventory, and provide technical assistance on shrinkage management. Funder: The Food Trust + IDPH + IPHI (multi-funder model already deployed elsewhere in Illinois).
- **Solution 1C — Link Match Extension at Corner Stores.** Enroll HCSI-participating stores as Illinois Link Match vendors (administered by Experimental Station / IPHI). Link Match doubles SNAP purchasing power on fresh produce at participating venues. **HB2769, effective July 1, 2023, already authorizes corner-store participation under 305 ILCS 5/12-4.50 — no statutory change is needed.** The remaining barriers are administrative enrollment and POS compatibility (covered by HCSI equipment grants).

Medium-Term Funding Levers (2027–2028)

- **Illinois Grocery Initiative (DCEO).** Apply in Round 3 (expected early 2026) for either a new-store grant (\$150K–\$2.4M with 1:3 match) or an Equipment Upgrades grant. A Roseland CDC or cooperative entity must serve as applicant-of-record with capacity to demonstrate the match.
- **NMTC via Chicago Development Fund.** CDF has deployed New Markets Tax Credits in three Chicago food-retail projects since 2019 (Jeffery Plaza / Yellow Banana / Forty Acres Fresh Market), generating \$5.5M–\$12M allocations per project. NMTC delivers a ~20–25% net subsidy on qualifying capital costs once a grocery operator is identified for 15 years.
- **HFFI predevelopment grant** (USDA / Reinvestment Fund) and **USDA LFPP grant** for in-station fresh-food retail (\$500K over three years, replicating the MARTA Atlanta model).

- **Co-op Ed Center** and the Democracy at Work Institute’s 2024 Chicago Worker Cooperative Developer Cohort provide free technical assistance if the community elects a cooperative ownership structure — directly responsive to resident preferences surfaced in stakeholder Q&A.

Long-Term Anchor and Zoning (2029–2031, RLE Era)

- **Solution 2A — TOD Upzoning under the Connected Communities Ordinance (CCO).** The CCO is a *regulatory entitlement*, not a budget line: it grants FAR bonuses and parking reductions to qualifying parcels within a half-mile of a CTA/Metra stop. **Direct public cost: \$0.** Roseland’s RLE-adjacent parcels become eligible when the new stations open at 103rd, 111th, 115th, and 130th Streets (~2030). The action item now is to file rezoning petitions through the 20th and 34th Ward aldermanic offices in 2026–2027, before RLE groundbreaking pushes land values.
- **Solution 2B — Grocery Anchor at 15th at Michigan Station.** The \$48.3M mixed-use TOD development at the SW corner of 115th and Michigan, announced June 2025, is already funded through a TIF + LIHTC + municipal-bond stack and targets a 2027 construction start. **The grocery tenant is TBD as of this writing.** The decisive 2026 advocacy task is to push Chicago Neighborhood Initiatives toward a community-owned or SNAP/WIC-accepting operator, with Link Match enrollment written into the commercial lease.
- **Solution 1B — In-Station Fresh-Food Retail at RLE stations** (modeled on Fresh MARTA Markets in Atlanta), deployable once stations open in ~2030.

Why layering matters. HCSI and Link Match are not substitutes for the anchor; the anchor is not a substitute for them. HCSI fixes supply at corner stores that residents already use; Link Match doubles purchasing power on the supply that HCSI provides. The anchor addresses scale and selection in a single trip. TOD upzoning makes the land economics for any future anchor viable at \$0 public cost. Each layer addresses a distinct failure mode — removing any single one weakens the whole.

Development Strategy: Transit-Oriented Mixed Use

The Roseland plan centers on three key sites along South Michigan Avenue, each designed to integrate residential density with commercial activity:

- **Site 1 (Gately’s site)** includes 53 multi-family units, 11 townhomes, and approximately 12,925 square feet of ground-floor retail
- **Site 2 (Roseland Theater)** focuses on adaptive reuse, combining cultural space with approximately 13,677 square feet of site activation and micro-retail
- **Site 3 (115th and Michigan)** is positioned near the future Red Line station and designated for higher-density mixed-use development tied directly to transit access

The planning framework explicitly emphasizes “higher density mixed use near transit,” indicating a transit-oriented development (TOD) model. This aligns with economic theory and empirical evidence showing that increased accessibility reduces transportation costs, raises foot traffic, and supports retail clustering.

INVEST South/West program

INVEST South/West is a city-wide program in Chicago which targets underinvested neighborhoods such as Roseland and Pullman. It uses public investment to help spur private investment and specifically looks at transit-oriented infrastructure. The basic structure of the INVEST S/W program is a three-step process. This consists of Request for Qualifications (RFQ), a Request for Proposals (RFP), and the Small Business Improvement Fund (SBIF). RFQ is the first step, where the city selects qualified developers based on their experience, capacity, and vision for a project. RFP comes next, requiring those selected teams to submit detailed proposals that determine what actually gets built, including design, financing, and retail plans. SBIF operates later in the process by providing grants to small businesses to help cover build-out and startup costs once development is underway or complete.

RFQ

The RFQ process begins by selecting qualified development teams based on experience, concepts, and partnerships rather than choosing final projects upfront. The city then narrows applicants and pairs selected teams with architects, community organizations, and local stakeholders to shape proposals. These teams receive financial support, up to \$25,000, to develop detailed plans that include site design, financial feasibility, and retail strategy, with community input incorporated through public engagement. Final selections are made based on feasibility, design quality, community alignment, and economic impact, after which winning teams gain the right to develop the sites

RFP

The RFP process follows the RFQ stage and determines what will actually be built on a given site. Selected development teams submit detailed proposals that include architectural plans, financial feasibility, and the intended retail and tenant mix, often incorporating community input gathered during earlier engagement phases. The City evaluates these proposals based on criteria such as design quality, alignment with community needs, and economic impact, ultimately selecting a winning team that is granted the right to carry out the development

SBIF

The Small Business Improvement Fund (SBIF) operates at a later stage by supporting businesses rather than developers, providing grants that help cover costs such as renovations, build-out, and equipment. This program would likely seem more use in the future when the business has been thoroughly established but provides the security of a safety net which could come into play.

Cost of the Recommended Solution

This section provides quantified estimates for every mechanism in the stack and a rolled-up five-year program cost. All estimates carry explicit confidence flags; ranges reflect genuine

uncertainty in per-unit costs and Roseland-specific deployment scale. Denominators used throughout: Roseland community area only (14 tracts, 10 LILA tracts, ~44,000 residents).

Per-Mechanism Cost Estimates

Mechanism	One-Time Public Cost	Annual Ongoing	Confidence
1A: HCSI corner stocking (30 stores, full coverage)	\$180K–\$480K	\$300K–\$990K/yr	Medium
1B: In-station retail (4 RLE stations, net of USDA LFPP grant)	\$108K–\$400K	\$73K–\$361K/yr	Low
1C: Link Match at corner stores (15-store mid scenario)	Minimal (POS upgrade folded into HCSI)	\$90K–\$270K/yr	Low–Med
2A: TOD upzoning (CCO)	\$0	\$0	High
2B: Grocery anchor (1Fifteen, public subsidy share)	\$7M–\$18M	\$100K–\$500K/yr (Years 1–3 operating support)	Medium
Stack total, full deployment	\$7.3M–\$18.9M	\$563K–\$2.12M/yr	Mixed

The \$7M–\$18M one-time cost is dominated entirely by Solution 2B (the grocery anchor public subsidy). Strip the anchor out and the remaining stack (HCSI + in-station retail + Link Match + TOD) costs only **\$288K–\$880K one-time** plus \$463K–\$1.62M per year ongoing. This matters strategically: if the 1Fifteen tenant decision delivers a community-owned operator that accepts below-market member returns, much of the operating-subsidy line and a portion of the public-subsidy line can be reduced through cooperative equity — as Pennsylvania FFFI experience suggests is feasible.

Phased Public Cost Profile

Phase	What Deploys	One-Time	Annual at Phase End
2026 (Year 1, Immediate)	HCSI capex (5–15 stores); Link Match enrollment; TIF extension advocacy; TOD pre-staging	\$30K–\$240K	\$50K–\$495K/yr
2027–2028 (Medium)	HCSI scale-up to 30 stores; IL Grocery Init / NMTC pre-app for 1Fifteen tenant; co-op TA	\$180K–\$480K	\$300K–\$990K/yr
2029–2031 (Long, RLE era)	1Fifteen grocery anchor subsidy stack; in-station retail at RLE; CCO TOD activation	\$7M–\$18M	\$173K–\$861K/yr
Five-year total	—	\$7.3M–\$18.9M	\$563K–\$2.12M/yr at full deployment

Cost-Effectiveness Framing

Metric	Low end of	High end of
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	stack	stack
Total one-time public cost	\$7.3M	\$18.9M
Per LILA tract (10 LILA tracts)	\$730K	\$1.89M
Per resident (44,000 residents)	\$166	\$430
Annual ongoing public cost	\$563K/yr	\$2.12M/yr
Per resident per year	\$13/yr	\$48/yr

Cost of doing nothing (annual leakage, Roseland alone, 2003\$)

Per resident per year, doing nothing

Per LILA tract per year, doing nothing

► **Headline framing for the deck.** The full intervention stack at the high end (\$18.9M one-time + \$2.12M/yr ongoing) costs less than **three weeks** of Roseland’s current annual retail leakage (\$342M ÷ 52 ≈ \$6.6M/week). Doing nothing costs each Roseland resident \$7,773 per year. Doing everything in this memo costs each resident \$166–\$430 once and \$13–\$48 per year.

Counterfactual: What “Do Nothing” Actually Costs

- **Direct retail leakage:** \$342M/year from Roseland alone (Voorhees / UIC Center for Urban Economic Development, 2005 publication; underlying retail data year 2003). Inflation-adjusted to 2024 dollars using BLS CPI-U (×1.73): **~\$592M/year**.
 - **Per-resident cost of inaction:** \$7,773 per Roseland resident per year (2003\$ basis).
 - **Per-LILA-tract cost of inaction:** \$34.2M per year.
 - **Political window cost:** The combined INVEST South/West + RLE investment cycle is a 5–10-year window. Missing it means the next comparable infrastructure window may be a decade away.
 - **Anti-displacement risk (cross-reference Section 2):** McDonald & Osuji (1995) and McMillen & McDonald (2004) document that station-area property values began capitalizing along the Orange Line / Midway corridor *three years before* the line opened and continued to accumulate over more than a decade post-opening. The RLE broke ground in April 2026; by the pattern in that literature, Roseland’s RLE-adjacent property markets may already be adjusting. Delaying the food-access stack while the property market capitalizes risks a second, hidden cost of inaction: residents priced out of the neighborhood before any intervention reaches them.
 - **Diet-related health externality:** Directionally real but not quantified here (Allcott et al. 2019; Dubowitz et al. 2015 caveat that supply-side intervention alone does not close diet quality gaps without income support). The cost of partial solutions is real; this is the empirical basis for layering Link Match on top of HCSI rather than deploying either alone.
- **The operating-subsidy gap that killed Dominick’s.** The 2013 Dominick’s South Side exit was not a capital expenditure failure — it was an operating-margin failure. The \$100K–\$500K

per year operating-subsidy line for years 1–3 of the 1Fifteen grocery is not optional. A grocery anchor strategy that funds build-out but not operations will repeat the Dominick’s pattern. A cooperative ownership structure — which absorbs operating risk through member equity in exchange for governance rights — is the only model that durably reduces this line.

Recommendation

Adopt the full five-mechanism stack on a phased deployment timeline, anchored on three load bearing 2026 actions:

1. **Enroll Roseland corner stores in HCSI and Link Match (2026).** Both are authorized today — HB2769 already cleared the statutory barrier for Link Match at corner stores. Deploy refrigeration grants and POS hardware in parallel, paired with technical assistance to address the documented 15–30% spoilage rates at first-time produce sellers. Cost: \$30K–\$240K one-time in Year 1; \$50K–\$495K/year ongoing.
2. **Engage Chicago Neighborhood Initiatives on the 1Fifteen grocery tenant decision (2026).** CNI is currently negotiating with potential operators. The window to advocate for a community-owned or cooperative tenant that accepts SNAP and WIC and enrolls in Link Match is now, before the development agreement is finalized. Cost to advocate: \$0; cost of missing the window: the anchor opens with a chain tenant that does not address resident preferences or captures the SNAP volume.
3. **Pre-stage Connected Communities Ordinance rezoning petitions (2026–2027).** Aldermanic offices in the 20th and 34th Wards file petitions for parcels within a quarter-mile of the planned 115th/Michigan RLE station. **Empirical urgency:** the Orange Line / Midway corridor literature shows that station-area capitalization begins at announcement, not at opening (McDonald & Osuji 1995; McMillen & McDonald 2004). The RLE broke ground in April 2026; value gains are accruing now. CCO eligibility activates when RLE stations open (~2030), but rezoning timelines and the pre-emption of land-value pressure make pre-staging essential. Anti-displacement covenants should ride alongside the rezoning, not be retrofitted afterward. Cost: \$0 direct.

The medium-term funding levers (Illinois Grocery Initiative Round 3, NMTC through Chicago Development Fund, HFFI predevelopment, USDA LFPP for in-station retail) and the long-term anchor and zoning components follow as the calendar allows. They build on the 2026 actions; they do not replace them.

Caveats and Verification Items

The estimates in this memo are best-available from public sources. Items below require direct source verification before being cited as confirmed figures in the stakeholder-facing final report.

Item	Status	Verification Source
HCSI per-store annual cost	\$6K–\$16K capex estimated from equipment pricing; The Food Trust per-	Food Trust Annual Reports

	store figure not extracted from annual reports	
MARTA per-station operating cost (in-station retail benchmark)	\$24K–\$167K/station/year estimated from USDA LFPP grant; MARTA P&L not public	MARTA program contact; Retaaza (current operator)
Roseland/Michigan TIF (T-113) current fund balance	District flagged as “financially healthy” per City extension recommendation; exact balance not pulled	City of Chicago OIG TIF Dashboard
Roseland corner-store exact count	Working assumption: 20–40 stores in 14 tracts; not verified against Cook County licensing data	Cook County Clerk Business Licensing database
\$342M leakage figure (inflation adjustment)	Voorhees / UIC 2005 publication; BLS CPI-U ×1.73 multiplier derived for 2003→2024	BLS CPI Inflation Calculator (run directly for exact figure)
1Fifteen grocery tenant identity	TBD as of June 2025 announcement; not named	CNI press updates; DPD INVEST South/West portal
Section 2 capitalization estimates	Drawn from cited studies; not re-estimated on Roseland-specific parcels	Section 2 references; Cook County Assessor data for replication

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